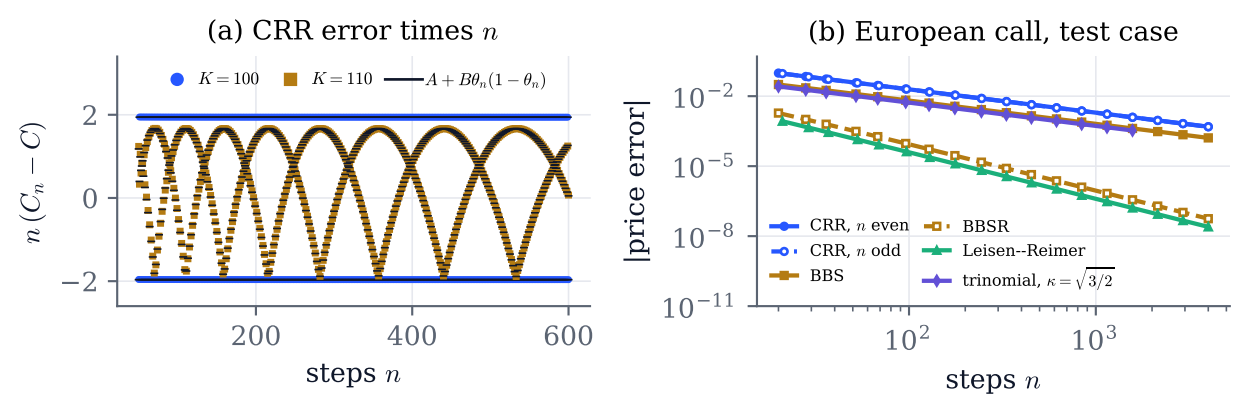
(a) CRR error times n
$K = 100$
$K = 110$
$A + B\theta_n(1-\theta_n)$
$n\,(C_n - C)$
2
0
−2
200
400
600
steps n
(b) European call, test case
|price error|
10^{-2}
10^{-5}
10^{-8}
10^{-11}
CRR, n even
CRR, n odd
BBS
BBSR
Leisen--Reimer
trinomial, $\kappa = \sqrt{3/2}$
10^{2}
10^{3}
steps n